

CHAPTER 1 – A History of Stocks, Bonds, and Bills

Let's start with a history lesson. Many people begin investing their money without a true understanding of what has happened in the past, and often bias their expectations toward their own personal experiences. My mother always told me the way to invest was to buy some stocks and then just hold on to them. But her experience, living in the United States and investing particularly in the 1980s and 1990s, was very different from her parent's generation, which lived through the Great Depression. Both of these experiences would be vastly different from those of the average Japanese, German, or Russian investor.

So what is possible and reasonable to expect from history? We should begin with a discussion about the value of money.

A few years ago, my father and I were talking and he decided to demonstrate a real world example of inflation. A couple weeks later, I received a letter with a check inside written by my great grandfather in the 1910s for \$0.50. He was a farmer who immigrated from Les Martigny-Baines, Voges France and ended up in Nebraska. That \$0.50 is equivalent to about \$13 today and shows a very simple example of inflation. As a side note, look at that penmanship!

FIGURE 1 – Real World Inflation



Source: Faber

A more familiar example is the oft-used phrase, "I remember when a Coca-Cola cost ten cents." (Another fun example is "[Superhero Inflation](#).") Inflation is an emotional topic. It usually goes hand-in-hand with a discussion of The Federal Reserve, and there are not many topics that incite more vitriol in certain economic and political precincts than "The Fed" and the U.S. dollar.